focus on the needs of the developing countries. With the international atmosphere already charged with the Cold War temperament, there started a tussle between the Western bloc and the Eastern bloc to win over the 'Third World'. Each presented its model of development as the best. The United States believed that there always is a possibility of unlimited economic growth in a free-market system. Economies would reach a 'take-off' point and thereafter wealth would trickle down to those at the bottom. The underlying assumption was the superiority of the 'Western' model and knowledge. The process would involve reliance on 'expert knowledge', generally Western and external, large capital investments in large projects, advanced technology, and expansion of the private sphere. On the other hand, the USSR projected its pattern of development as the model means of progress in which they upheld the central planning in the socialist sphere by the state as the preferred method of ushering in economic growth as opposed to market-driven economic growth in the capitalist system. But both these models heavily relied on industrialization and GDP per capita economic growth. But the assessment of the post-War international economic order portrayed a dark picture of the Third World economies. On the one hand, the developing countries were caught up in a vicious circle of debt trap and could not disentangle themselves from it and, on the other, they were suffering so severely from the structural adjustment programmes of the IMF and the World Bank that they neither could register a positive rate of development nor could they ensure the well-being of their people. An estimate shows that from 1970 to 1982, the developing countries were encouraged to borrow more since the real interest rates were extremely low. Further, the export revenue with which they were reimbursing their debt increased due to the increase in the price of raw materials. However, by the end of 1979, the sudden increase in the interest rates imposed on the world unilaterally by the United States resulted in an increase in the sums to be repaid. Matters were made worse with the fall in commodity prices followed by drop in the price of crude oil. This made it difficult for the oil-producing countries such as Mexico to repay the loan. Many Latin American, Asian and the sub-Saharan countries faced an extreme debt crisis.[1]